Data on income from abroad (the rest of the world sector or foreign sector) are obtained from the account of the balance of payments of the country.

Precautions

While estimating national income through income method, the following precautions should be taken.

Items not to be included

1. Transfer payments are not to be included in estimation of national income as these payments are not received for any services provided in the current year such as pension, social insurance etc.

2. The receipts from the sale of second hand goods should not be treated as part of national income as they do not create new flow of goods or services in the current year.

3. Windfall gains such as lotteries are also not to be included as they do not represent receipts from any current productive activity.

4. Corporate profit tax should not be separately included as it has been already included as a part of company profit.

Items to be included

1. Imputed value of rent for self occupied houses or offices is to be included.

2. Imputed value of services provided by owners of production units (family labour) is to be included.

2.5.3. The Expenditure Method (Outlay method)

Under this method, the total expenditure incurred by the society in a particular year is added together. To calculate the expenditure of a society, it includes personal consumption expenditure, net domestic investment, government expenditure on consumption as well as capital goods and net exports. Symbolically,

$$GNP = C + I + G + (X-M)$$

C - Private consumption expenditure

I - Private Investment Expenditure

G - Government expenditure

X-M = Net exports

Precautions

1. **Second hand goods:** The expenditure made on second hand goods should not be included.

2. **Purchase of shares and bonds :** Expenditures on purchase of old shares and bonds in the secondary market should not be included.

3. **Transfer payments :** Expenditures towards payment incurred by the government like old age pension should not be included.

4. **Expenditure on intermediate goods :** Expenditure on seeds and fertilizers by farmers, cotton and yarn by textile industries are not to be included to avoid double counting. That is only expenditure on final products are to be included.